

HOUSE BILL 2121

By Williams

AN ACT to amend Tennessee Code Annotated, Title 4;
Title 8; Title 49 and Title 67, relative to education.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. This act is known and may be cited as the "Better Spending, Better Schools Act of 2026."

SECTION 2. Tennessee Code Annotated, Title 49, Chapter 3, Part 1, is amended by adding the following as a new section:

(a) Each LEA and public charter school shall submit an expenditure report to the office of research and education accountability (OREA) in the office of the comptroller of the treasury and to the department of education by August 1 each year.

(b) The department shall develop the standardized form that must be used by each LEA and public charter school to report expenditures made in the immediately preceding school year in each of the following categories:

(1) Instructional costs, including, but not limited to, all compensation paid to classroom teachers and instructional aides, and the cost of any instructional materials or technology or software purchased that directly supports instruction;

(2) Student support service costs, including, but not limited to, counseling services, mental health services, services provided by social workers, and other costs associated with student well-being supports or services provided;

(3) School administrative costs, including, but not limited to, principal salaries, assistant principal salaries, instructional leader salaries, salaries paid to any other school administrators, salaries paid to administrative office staff, and

the costs associated with the administrative office operations at each school in the LEA or at the public charter school, as applicable;

(4) District administrative costs, if applicable, including, but not limited to, all compensation paid to the director of schools and central office staff, any expenses paid for the local board of education, and the costs associated with the administrative office operations for the district or school board office;

(5) Operation and maintenance costs, including, but not limited to, the costs of operating, maintaining, and updating facilities, utility costs, security costs, custodial service costs, and the costs of providing student transportation;

(6) Professional development costs, including, but not limited to, trainings, workshops, and certification programs for educators and staff; and

(7) Expenditures made using direct allocations to the LEA or public charter school, including, but not limited to, the costs of literacy services and programs for students in grades kindergarten through three (K-3), tutoring services for fourth-grade students, career and technical education, postsecondary readiness assessments, and public charter school facilities.

(c) The department shall make the expenditure report submitted by each LEA and public charter school publicly available by posting the report on the state report card. The department shall also include on the state report card the total amount of state funds appropriated to each LEA and public charter school through the TISA, as well as the required local contribution for the respective school year.

SECTION 3. This act takes effect upon becoming a law, the public welfare requiring it.